

Conventional Proforma



Memphis Investment Properties, LLC

Growing Your Investment

2881 Cordell St
Memphis TN 38118

Price: \$179,400

Bed 3 Bath 2 Sqft 1355 Built in 1964 Parking C1
Neighborhood Rating: B+

Property Income	Monthly	Annually
Target Rent	\$1,350	\$16,200
Vacancy Losses	\$54	\$648
Operating Income	\$1,296	\$15,552

Property Expenses	Monthly	Annually
Management Fees	\$0	\$0
Property Taxes	\$107	\$1,279
Insurance	\$60	\$718
Maintenance Repairs	\$54	\$648
Annual Safety Inspection	\$6	\$100
HOA Fees	\$0	\$0
Operating Expenses	\$227	\$2,745

Cash Flow	Monthly	Annually
Net Operating Income	\$1,069	\$12,832
CAP Rate (All Cash Purchase)		7.14%
Mortgage Payments (P&I)	\$828	\$9,941
Gross Cash Flow	\$349	\$4,186
Net Cash Flow (After Vac. & Maint.)	\$241	\$2,890

25% Down ROI	\$ ROI	% ROI
Cash on Cash Return (5 year avg)	\$2,790	6.2%
Leveraged Appreciation ROI (1 yr)	\$7,176	16.0%
Mortgage Principal Reduction (1 yr)	\$1,577	3.5%
Tax Savings ROI (1 yr)	\$954	2.1%
Total Return on Investment (1 yr)	\$12,563	28.0%

Mortgage Breakdown	
Loan to Value	75%
Loan Amount	\$134,550
Monthly Payment	\$828
Term (Years)	30
Interest Rate	6.25%
Down Payment	\$44,850

Tax Savings	
Net Cash Flow	\$2,890
Tax Bracket	33%
Net Tax Savings	\$954
Tax Savings ROI	2.1%

General Assumptions	
Property Appreciation	4%
Vacancy	4%
Property Management	8%
Maintenance Repairs	4%
Rent Increase	5%
Expenses Increase	5%

*Vacancy and Maintenance reserve are sent to the owners account monthly.

*Price includes all renovations. Prepaid taxes and insurance are under property expenses instead of initial cash invested.

**All financial information is deemed reliable but not guaranteed. Performance & Projections are estimated and subject to change. The provider shall be held harmless if returns are not met. All Investments have risks and Investors are urged to perform their own due diligence.



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2881 Cordell St - 10 Yr Analysis

	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7	Year 8	Year 9	Year 10
Property Income										
Rent	\$ 16,200	\$ 17,010	\$ 17,861	\$ 18,754	\$ 19,691	\$ 20,676	\$ 21,710	\$ 22,795	\$ 23,935	\$ 25,132
Vacancy Losses (4%)	\$ 648	\$ 680	\$ 714	\$ 750	\$ 788	\$ 827	\$ 868	\$ 912	\$ 957	\$ 1,005
Operating Income	\$ 15,552	\$ 16,330	\$ 17,146	\$ 18,003	\$ 18,904	\$ 19,849	\$ 20,841	\$ 21,883	\$ 22,977	\$ 24,126
Property Expenses										
Management Fees (8%)	\$ -	\$ 1,306	\$ 1,372	\$ 1,440	\$ 1,512	\$ 1,588	\$ 1,667	\$ 1,751	\$ 1,838	\$ 1,930
Property Taxes	\$ 1,279	\$ 1,343	\$ 1,410	\$ 1,481	\$ 1,555	\$ 1,632	\$ 1,714	\$ 1,800	\$ 1,890	\$ 1,984
Insurance	\$ 718	\$ 754	\$ 792	\$ 832	\$ 873	\$ 917	\$ 963	\$ 1,011	\$ 1,061	\$ 1,115
Repairs	\$ 648	\$ 680	\$ 714	\$ 750	\$ 788	\$ 827	\$ 868	\$ 912	\$ 957	\$ 1,005
Leasing Fee	\$ -	\$ -	\$ -	\$ 781	\$ -	\$ -	\$ 905	\$ -	\$ -	\$ 1,047
Annual Safety Inspection	\$ 100	\$ 100	\$ 100	\$ 100	\$ 100	\$ 100	\$ 100	\$ 100	\$ 100	\$ 100
Management Renewal Fee	\$ -	\$ 250	\$ 250		\$ 250	\$ 250		\$ 250	\$ 250	\$ 250
HOA Fees	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Operating Expenses	\$ 2,745	\$ 4,434	\$ 4,638	\$ 5,384	\$ 5,078	\$ 5,314	\$ 6,217	\$ 5,823	\$ 6,097	\$ 7,431
Net Operating Income (NOI)	\$ 12,807	\$ 11,896	\$ 12,508	\$ 12,619	\$ 13,826	\$ 14,535	\$ 14,624	\$ 16,060	\$ 16,881	\$ 16,695
Capitalization Rate (CAP Rate)	7.1%	6.6%	7.0%	7.0%	7.7%	8.1%	8.2%	9.0%	9.4%	9.3%
Key Investment Indicators										
Mortgage Payment	\$ 9,941	\$ 9,941	\$ 9,941	\$ 9,941	\$ 9,941	\$ 9,941	\$ 9,941	\$ 9,941	\$ 9,941	\$ 9,941
Net Cash Flow	\$ 2,865	\$ 1,954	\$ 2,566	\$ 2,678	\$ 3,884	\$ 4,593	\$ 4,683	\$ 6,119	\$ 6,939	\$ 6,754
Cash on Cash ROI	6.4%	4.4%	5.7%	6.0%	8.7%	10.2%	10.4%	13.6%	15.5%	15.1%
Property Value	\$ 186,576	\$ 194,039	\$ 201,801	\$ 209,873	\$ 218,268	\$ 226,998	\$ 236,078	\$ 245,521	\$ 255,342	\$ 265,556
Property Appreciation	\$ 7,176	\$ 7,463	\$ 7,762	\$ 8,072	\$ 8,395	\$ 8,731	\$ 9,080	\$ 9,443	\$ 9,821	\$ 10,214
Mortgage Principal Reduction	\$ 1,577	\$ 1,678	\$ 1,786	\$ 1,901	\$ 2,023	\$ 2,153	\$ 2,292	\$ 2,439	\$ 2,596	\$ 2,763
Net Tax Savings	\$ 946	\$ 645	\$ 847	\$ 884	\$ 1,282	\$ 1,516	\$ 1,545	\$ 2,019	\$ 2,290	\$ 2,229
Tax ROI	2.1%	1.4%	1.9%	2.0%	2.9%	3.4%	3.4%	4.5%	5.1%	5.0%
Total Return	\$ 12,563.37	\$ 11,740.12	\$ 12,960.92	\$ 13,534.52	\$ 15,584.25	\$ 16,992.87	\$ 17,599.85	\$ 20,020.35	\$ 21,646.25	\$ 21,959.21
Total ROI	28.0%	26.2%	28.9%	30.2%	34.7%	37.9%	39.2%	44.6%	48.3%	49.0%
Total Property Equity	\$ 53,602.69	\$ 61,167.13	\$ 69,036.64	\$ 77,223.52	\$ 85,740.71	\$ 94,601.55	\$ 103,819.98	\$ 113,410.53	\$ 123,388.28	\$ 133,768.95

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